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What is Asset Monetization through Leasing ?

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Chapter 1: Product Overview & Core Philosophy of Asset Monetization through Leasing

Definition & Core Essence:

Asset Monetization through Leasing is an essential financial engineering mechanism designed to transform illiquid, capital-intensive brownfield assets—such as commercial real estate, industrial plants, heavy machinery, power generation units, transmission lines, highways, telecom towers, and logistics hubs—into immediate upfront liquid capital without sacrificing operational utility or project control.

Unlocking Capital from Illiquid Fixed PPE:

In traditional corporate finance, enterprises lock up substantial equity and debt capital in physical fixed assets. While these assets generate operational revenues, their book value remains trapped on the balance sheet as illiquid property, plant, and equipment (PPE). Asset Monetization through Leasing decouples the ownership of physical assets from their operational usage. By transferring legal ownership, long-term leasehold rights, or future lease rental cash flows to institutional investors, leasing companies, or Special Purpose Vehicles (SPVs), the original asset owner (Lessee / Seller) receives a large upfront lump-sum cash payout while retaining continuous operational control through a long-term lease agreement.

The National Monetisation Pipeline (NMP) & Private Corporate Imperative:

The strategic imperative for asset monetization in India has expanded dramatically following the Government of India's launch of the National Monetisation Pipeline (NMP) by NITI Aayog. The NMP envisions unlocking value from operational public infrastructure assets (roads, power, railways, pipelines, telecom) by leasing them to private institutional investors under Toll-Operate-Transfer (TOT), Operate-Maintain-Transfer (OMT), and Operations & Maintenance (O&M) concession structures. Concurrently, in the private corporate sector, Sale-and-Leaseback (SLB) and Lease Rental Discounting (LRD) have emerged as primary tools for corporate deleveraging, capex expansion, and debt refinancing.

Comprehensive Comparison Matrix: Asset Monetization Leasing vs Other Capital Alternatives

To evaluate where Asset Monetization through Leasing fits within the corporate finance spectrum, the following matrix compares leasing-based monetization against outright asset sales, conventional bank term loans, and corporate debenture issuances across six key dimensions.

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Dimension	Lease Monetization (SLB/LRD/NMP)	Outright Asset Sale	Conventional Bank Term Loan	Corporate NCD / Bond Issue
Asset Operational Control	100% Retained via long-term operating lease	100% Lost to buyer upon transaction closing	100% Retained by borrower	100% Retained by issuer
Upfront Capital Unlocking	High (70%–95% of Fair Market Value / Rent NPV)	100% of Fair Market Value (Full Cash Out)	Moderate (60%–75% LTV against collateral)	Moderate to High (based on credit rating)
Impact on Balance Sheet	Ind AS 116 ROU Asset & Lease Liability recorded	Complete removal of asset; cash gain recorded	Increases secured financial indebtedness	Increases corporate debt liabilities
Taxation & Interest Shields	100% Lease Rental Tax Deductible u/s 37(1)	Immediate Capital Gains Tax u/s 45	Interest portion tax-deductible u/s 36(1)(iii)	Coupon interest tax-deductible u/s 36(1)(iii)

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Chapter 2: Structural Architecture, Taxonomy & Operational Mechanics

Asset Monetization through Leasing encompasses several distinct structural models adapted to specific asset classes, regulatory permissions, and corporate objectives. Understanding these structural variations is critical for finance professionals.

Taxonomy of Asset Monetization Leasing Structures

- **1. Sale-and-Leaseback (SLB) Model:** The corporate asset owner sells a physical asset (commercial building, industrial plant, machinery) to a leasing company or institutional investor for an upfront cash price based on Fair Market Value (FMV). Simultaneously, the seller executes a long-term Master Lease Agreement to lease the asset back for 5 to 20 years, paying periodic lease rentals while continuing uninterrupted operations.
- **2. Lease Rental Discounting (LRD) Model:** Applicable when a property or asset owner has already leased an asset to creditworthy tenants (e.g., multinational IT firms, government bodies) under long-term lease contracts. A bank or NBFC sanctions an upfront term loan by discounting the net present value (NPV) of future contracted lease rental cash flows, which are directed into an exclusive Escrow Trust & Retention Account (TRA).
- **3. Operating Lease vs Finance Lease Dynamics (Ind AS 116):** Under Ind AS 116, operating leases transfer usage rights without substantially transferring all risks and rewards of ownership (typical for technology and aircraft fleets), whereas finance leases transfer substantially all risks and rewards (typical for heavy plant and infrastructure). Both require balance sheet recognition of Right-of-Use (ROU) Assets and Lease Liabilities.
- **4. Infrastructure Concession Leasing (NMP / TOT / OMT):** Public authorities or private infrastructure owners lease operational revenue-generating assets (highways, power plants, gas pipelines) to private concessionaires for 15 to 30 years under Toll-Operate-Transfer (TOT) or Operate-Maintain-Transfer (OMT) agreements in exchange for a massive upfront concession fee.
- **5. Special Purpose Vehicle (SPV) Ring-Fenced Leasing:** Large infrastructure or industrial assets are placed inside an isolated SPV. The SPV issues lease-backed securities, non-convertible debentures (NCDs), or receives LRD facilities, insulating the parent company from direct balance sheet recourse.

Six-Stage Operational Lifecycle Workflow

Executing an Asset Monetization through Leasing transaction follows a rigorous six-stage engineering workflow from origination to terminal discharge:

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- **Stage 1: Asset Selection & Technical Due Diligence:** Identifying operational, revenue-generating brownfield assets with a minimum 12–36 month operational track record and remaining economic life exceeding requested lease tenure.
- **Stage 2: Independent Valuation & TEV Audit:** Appraising Fair Market Value (FMV), replacement cost, and secondary market liquidity through registered valuation experts and independent engineering firms.
- **Stage 3: Term Sheet & Lease Structuring:** Negotiating lease rental yields, tenure, escalation clauses (5%–10% every 3 years), residual value guarantees, and maintenance covenants.
- **Stage 4: Legal Execution & Security Perfection:** Executing Master Sale & Leaseback Deeds, Lease Assignments, Escrow TRA Agreements, and filing ROC Form CHG-1 charge registration within 30 days u/s 77 of Companies Act 2013.
- **Stage 5: Upfront Liquidity Disbursement:** Disbursing upfront lump-sum monetization proceeds to the asset owner for debt payoff, capex, or business expansion.
- **Stage 6: Operational Servicing & Terminal Discharge:** Servicing periodic lease rentals through the Escrow TRA account until lease maturity, followed by asset buyback, re-leasing, or transfer to the lessor.

Priority Escrow Trust & Retention Account (TRA) Cash Waterfall

To protect institutional investors and financiers, all monetized lease revenues or lease rental cash flows must flow through an exclusive Escrow TRA Account governed by a strict legal waterfall:

Waterfall Priority	Escrow Cash Flow Component	Operational & Legal Protection Mechanism
Priority 1	Gross Lease Revenues / Asset Collections	100% of tenant lease rentals or asset revenues deposited directly into Escrow TRA
Priority 2	Statutory Taxes & GST Obligations	Deduction of GST (SAC 9973/9971) and property/municipal taxes u/s 194I
Priority 3	Senior Lease Debt / LRD Servicing	Immediate debit of monthly lease rental amortization and interest servicing

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Priority 4	Major Maintenance Reserve Account (MMRA)	Sweep of 3%–5% of monthly collections into dedicated maintenance reserve
Priority 5	Debt Service Reserve Account (DSRA)	Top-up of 1 to 2 quarters of forward lease debt service in FD liens
Priority 6	Unrestricted Subordinated Surplus	Surplus cash released to asset owner / lessee for general corporate purposes

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Chapter 3: Regulatory, Statutory, Tax & Accounting Framework in India

Asset Monetization through Leasing operates within an interconnected matrix of Indian statutory laws, accounting standards, tax directives, and RBI regulations.

National Monetisation Pipeline (NMP) Policy Framework

Launched by NITI Aayog in 2021, the NMP outlines an estimated monetization potential of INR 6.0 Lakh Crores over public infrastructure assets (2022–2025). The framework mandates long-term leasehold concessions across roads (NHAI TOT), power transmission (PowerGrid InvIT / Lease), power generation (NHPC / NTPC cash flow leasing), gas pipelines (GAIL), railways, telecom towers (BSNL/MTNL), and airports. The core policy principle is that the government retains ultimate primary asset ownership while private concessionaires acquire long-term operational leasehold rights.

Ind AS 116 Lease Accounting Standard

Effective April 1, 2019, Ind AS 116 fundamentally changed lease accounting in India by eliminating the off-balance sheet distinction between operating and finance leases for lessees. Under Ind AS 116:

- **Right-of-Use (ROU) Asset:** Lessees must recognize a Right-of-Use Asset on the balance sheet, representing the legal right to use the leased asset over the lease term.
- **Lease Liability:** Lessees must record a corresponding Lease Liability equal to the present value of future lease payments discounted using the incremental borrowing rate.
- **Income Statement Impact:** Straight-line rental expense is replaced by depreciation expense on the ROU Asset and interest expense on the Lease Liability, resulting in higher front-loaded expenses in early lease years.

Income Tax Act 1961 Incentives & Deductibility

- **Section 32 (Depreciation Shield):** In an Operating Lease or LRD, the legal owner (Lessor) claims tax depreciation under the Block of Assets method (15% for general plant/machinery, 10% for buildings, 40% for renewable energy/computers). In a bona fide Sale-and-Leaseback (SLB), the buyer/lessor claims depreciation on the acquisition cost u/s 32.
- **Section 37(1) (Lease Rental Tax Deductibility):** Lease rentals paid by the lessee are 100% tax-deductible as business operating expenses u/s 37(1), creating an effective tax shield of ~25.17% (corporate tax rate).

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- **Section 194I (TDS Withholding):** Lessees must withhold Tax Deducted at Source (TDS) u/s 194I on lease rental payments—10% for land, buildings, or factory furniture, and 2% for plant, machinery, or equipment.

Goods and Services Tax (GST) Framework

Under the Central Goods and Services Tax (CGST) Act 2017, transfer of the right to use goods or assets is treated as a supply of services. Lease rentals attract GST under SAC 9973 (Leasing or rental services of machinery, equipment, or property) or SAC 9971 (Financial leasing services) at a standard rate of 18%. Commercial lessees utilizing the leased asset for business operations are fully eligible to claim Input Tax Credit (ITC) u/s 16 of the CGST Act, making GST revenue-neutral for corporate lessees.

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Chapter 4: Common Eligibility Criteria & Institutional Underwriting Parameters

Institutional financiers, NBFCs, and leasing companies enforce rigorous quantitative and qualitative underwriting standards to evaluate asset monetization transactions.

Quantitative & Qualitative Underwriting Benchmarks

Underwriting Parameter	Target Benchmark / Ratio	Analytical & Credit Rationale
Asset Operational History	Minimum 12 to 36 months post-COD	Verifies proven operational efficiency, cash flow stability, and technical reliability
Remaining Economic Life	UEL >= 1.5x Lease Tenure	Ensures asset retains substantial residual value and operating utility throughout lease
Tenant / Off-taker Rating	Minimum CRISIL A / BBB+ or Govt PSU	Guarantees creditworthiness of underlying lease cash flows supporting LRD/SLB
Lease Service Coverage Ratio	LSCR / DSCR >= 1.35x to 1.65x	Provides robust buffer against operational downtime, tariff drops, or rental defaults
Asset Coverage Ratio (ACR)	ACR >= 1.25x to 1.75x FMV Cover	Ensures secondary market asset liquidation value comfortably exceeds outstanding debt
CIBIL Commercial Credit Rank	CMR 1 to CMR 4 Rank	Demonstrates clean institutional repayment history and zero 36-month default records

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Chapter 5: Security Architecture, Collateral Controls & Documentation Suite

To secure institutional capital, Asset Monetization through Leasing utilizes a robust five-pillar security package paired with standardized legal documentation.

Five-Pillar Security Architecture

- **Pillar 1: First Exclusive Legal Mortgage & Hypothecation:** Creating a first ranking mortgage over underlying land and buildings, or exclusive hypothecation over leased equipment, registered with the Registrar of Companies (ROC Form CHG-1) u/s 77 of Companies Act 2013 within 30 days.
- **Pillar 2: Escrow Trust & Retention Account (TRA) Lockbox:** Mandatory routing of 100% of tenant lease rentals or asset concession revenues through an Escrow TRA account with tripartite bank control.
- **Pillar 3: Absolute Assignment of Lease Contracts & Revenues:** Executing a legal assignment deed empowering financiers to step into the lessor's shoes and collect lease rentals directly if default occurs.
- **Pillar 4: Corporate Parent Guarantee & Promoters' Indemnity:** Irrevocable corporate parent guarantees and counter-indemnities u/s 145 of the Indian Contract Act 1872 covering lease default shortfalls.
- **Pillar 5: Statutory Board & Shareholder Resolutions:** Enforcing Board Resolutions u/s 180(1)(a) (sale/lease of undertaking) and Section 180(1)(c) (borrowing limits) of Companies Act 2013.

Master Legal Documentation Suite

Document Title	Primary Contracting Parties	Legal Purpose & Enforceability
Master Sale & Leaseback Deed	Asset Seller (Lessee) & Buyer (Lessor)	Conveys legal title of asset and creates binding leaseback terms u/s 105 Transfer of Property Act
Lease Rental Discounting (LRD) Agreement	Property Owner, Tenant & Financier Bank	Governs term loan facility, interest rate, and assignment of contracted lease rental cash flows

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Escrow & TRA Agreement	Asset Owner, Financier Bank & Escrow Agent	Establishes priority cash waterfall, DSRA sweeps, and auto-debit debt servicing protocols
Deed of Hypothecation & Mortgage	Asset Owner & Debenture Trustee / Bank	Creates first exclusive security charge over leased assets filed via ROC Form CHG-1
Deed of Counter-Indemnity	Corporate Parent & Financier	Binds parent company u/s 145 Contract Act to reimburse financier for any lease default losses

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Chapter 6: Indicative Tenure, Pricing, Suitable Sectors & Sub-Products

Asset Monetization through Leasing structures vary significantly across market sectors, asset classes, and tenure horizons.

Tenure & Pricing Architecture

- **Short-Term Operating Leases (24 to 60 Months):** Applied to IT hardware, commercial vehicles, and construction equipment. Pricing features rental yields of 11.0%–14.0% p.a. with substantial residual value risk borne by the lessor.
- **Medium-Term LRD & SLB Facilities (5 to 10 Years):** Applied to commercial real estate, industrial plants, and healthcare MedTech fleets. Pricing ranges between Repo Rate + 250 to 400 bps (8.50%–11.00% p.a.) with full debt amortization.
- **Long-Term NMP Concession Leases (15 to 30 Years):** Applied to highways (TOT), power transmission grids, and gas pipelines. Concession fees are priced based on long-term discounted cash flow (DCF) yield models (7.50%–9.50% equity IRR expectations).

Suitable Industry Sectors & Asset Classes

- **1. Hydro & Thermal Power Plants:** Monetizing contracted power cash flows from operating plants (e.g., NHPC 10-year cash flow leasing of Uri-II and Dhauliganga power stations).
- **2. Highways & Expressways (NHAI TOT):** Leasing operational toll roads to private concessionaires for 20–30 years, raising upfront capital for greenfield highway expansion.
- **3. Commercial Real Estate & IT Parks:** Monetizing long-term Grade-A office leases through Lease Rental Discounting (LRD) facilities.
- **4. Telecom Infrastructure & Fiber Networks:** Sale-and-leaseback of telecom towers and optic fiber networks to independent towercos.
- **5. Aviation & Railways (GIFT City IFSC):** Operating aircraft leases and rolling stock leasing through offshore banking units in GIFT City IFSC enjoying 10-year 100% tax holidays u/s 80LA.

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Chapter 7: Key Advantages and Limitations Matrix

While Asset Monetization through Leasing offers compelling financial advantages, financial architects must carefully weigh its structural limitations.

Strategic Dimension	Key Advantages & Opportunities	Key Limitations & Structural Risks
Capital Efficiency & Liquidity	Unlocks 70%–95% of trapped equity from illiquid assets for immediate reinvestment	Requires long-term commitment of asset cash flows, reducing future operational flexibility
Cost of Financing	Provides lower interest rates (8.5%–10%) compared to unsecured corporate debt (12%–15%)	High initial appraisal, legal, TEV, and stamp duty transaction costs
Taxation & Cash Shields	100% lease rental tax deductibility u/s 37(1) creates ~25.17% corporate tax shield	Sale-and-Leaseback may trigger short-term capital gains tax u/s 45 if FMV exceeds written-down value
Balance Sheet Impact	Preserves existing bank borrowing limits for core working capital needs	Ind AS 116 requires recording ROU Assets and Lease Liabilities, inflating reported leverage
Asset Ownership & Utility	Retains 100% operational usage and revenue generation capabilities	Loss of ultimate residual asset ownership at lease expiry unless buyback options exist

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Chapter 8: Comprehensive Real-World Case Study (INR 500 Crore Power Asset Monetization)

To illustrate the practical application and mathematical mechanics of Asset Monetization through Leasing, the following case study examines a transaction executed in the Indian power sector.

Borrower Profile & Operational Background

Vanguard Hydro Energy Private Limited (VHEPL) operates a 250 MW operational hydroelectric power plant in Himachal Pradesh. The plant has been operational for 4 years post-COD, generating stable annual EBITDA of INR 85.00 Crores under a 25-year Power Purchase Agreement (PPA) with a State Electricity Distribution Company (Discom). The Net Book Value of the hydro asset is INR 600.00 Crores.

The Financial Challenge

VHEPL's parent company was awarded a new 300 MW Solar-Wind Hybrid project requiring an equity contribution of **INR 500.00 Crores**. The parent company's balance sheet was heavily leveraged, making additional corporate equity dilution or high-cost promoter loans unviable. VHEPL needed to monetize its operational hydro asset cash flows to generate INR 500.00 Crores in immediate upfront liquidity.

The Lease Monetization Solution

VHEPL structured a **10-Year Asset Cash Flow Monetization & Lease Rental Discounting (LRD) Facility** with a consortium of institutional lenders led by a major infrastructure finance NBFC. VHEPL assigned 10 years of contracted PPA power tariff cash flows into an exclusive Escrow TRA Account. Lenders sanctioned an upfront cash disbursement of **INR 500.00 Crores** @ 8.50% p.a. fixed interest rate with a 10-year door-to-door amortizing repayment schedule.

10-Year Amortization & Cash Flow Impact Schedule (in INR Crores)

Year	Gross PPA Cash Flow	Lease Debt Service (8.5%)	Escrow Surplus Retained	Tax Shield Benefit	Net Cash to VHEPL
Year 1	85.00	68.20	16.80	17.17	33.97
Year 2	85.00	68.20	16.80	17.17	33.97

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Year 3	85.00	68.20	16.80	17.17	33.97
Year 4	85.00	68.20	16.80	17.17	33.97
Year 5	85.00	68.20	16.80	17.17	33.97
Year 6	85.00	68.20	16.80	17.17	33.97
Year 7	85.00	68.20	16.80	17.17	33.97
Year 8	85.00	68.20	16.80	17.17	33.97
Year 9	85.00	68.20	16.80	17.17	33.97
Year 10	85.00	68.20	16.80	17.17	33.97

Strategic & Financial Outcome

- **Upfront Capital Unlocked:** VHEPL received INR 500.00 Crores in immediate liquid cash, fully funding the equity requirement for the 300 MW solar-wind hybrid project.
- **Zero Equity Dilution:** The parent company maintained 100% equity ownership across both the hydro plant and the new renewable energy project.
- **Comfortable DSCR Buffer:** Annual PPA collections of INR 85.00 Crores comfortably covered annual lease debt service of INR 68.20 Crores, maintaining a healthy Debt Service Coverage Ratio of **1.25x**.
- **Tax Efficiency:** Full tax deductibility of lease rentals u/s 37(1) generated an annual tax shield benefit of INR 17.17 Crores, boosting net retained cash flows.

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Chapter 9: Default Protocols, Enforcement Mechanics & IBC 2016 Integration

Understanding legal enforcement protocols during lease default or corporate insolvency is essential for institutional risk mitigation.

Events of Default & Enforcement Protocols

- **Non-Payment Default:** Failure to service lease rentals for 30 consecutive days triggers automatic Escrow TRA lockbox sweeps and 18% p.a. penal interest.
- **SARFAESI Act 2002 Asset Repossession:** Secured lenders holding mortgage/hypothecation charges can issue a 60-day demand notice u/s 13(2) and take physical possession of monetized assets u/s 13(4) for public auction.

Insolvency and Bankruptcy Code (IBC) 2016 Integration

The treatment of monetized leased assets during Corporate Insolvency Resolution Processes (CIRP) under IBC 2016 involves critical legal nuances:

- **Section 14(1)(d) Insolvency Moratorium:** Under Section 14(1)(d) of the IBC, lessors and asset monetizers are prohibited from repossessing or recovering property occupied by or in the possession of the Corporate Debtor during the CIRP moratorium. However, if the leased asset is essential for ongoing corporate operations, ongoing post-commencement lease rentals must be paid as Insolvency Resolution Process Costs (CIRP Costs), which hold Priority 1 ranking.
- **Section 53 Liquidation Waterfall:** If the corporate debtor enters liquidation, secured lessors/financiers with registered charges (ROC Form CHG-1) rank under Priority 2 (pari-passu with workmen's dues), ensuring robust recovery rights over asset sale proceeds.

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Chapter 10: Rookie Mastery Examination (15 High-Yield Test Q&As)

To verify complete mastery of Asset Monetization through Leasing, finance professionals and students should complete the following 15 examination questions and study their detailed answer keys.

Q1: What is the primary financial objective of Asset Monetization through Leasing?

A1: The primary objective is to transform illiquid, capital-intensive brownfield assets into immediate upfront liquid capital without sacrificing operational usage or project control, allowing companies to deleverage, fund new capex, or expand operations.

Q2: How does a Sale-and-Leaseback (SLB) transaction operate structurally?

A2: In an SLB transaction, the asset owner sells a physical asset to an investor/lessor for an upfront cash payment based on Fair Market Value, and simultaneously executes a long-term lease agreement to lease the asset back, paying periodic rentals while maintaining continuous operations.

Q3: What is Lease Rental Discounting (LRD)?

A3: LRD is a financial term loan facility sanctioned to property/asset owners by discounting the net present value (NPV) of future contracted lease rental cash flows from creditworthy tenants, with collections routed through an exclusive Escrow TRA account.

Q4: How does Ind AS 116 impact lease accounting on corporate balance sheets?

A4: Ind AS 116 eliminates off-balance sheet operating lease treatment for lessees, requiring them to recognize a Right-of-Use (ROU) Asset and a corresponding Lease Liability on the balance sheet, depreciating the ROU asset and servicing interest on the liability.

Q5: What tax deductibility benefit exists for lease rentals under the Income Tax Act 1961?

A5: Under Section 37(1), lease rentals paid by a lessee are 100% tax-deductible as operating business expenses, generating an effective corporate tax shield of ~25.17%.

Q6: What TDS rate applies to lease rental payments under Section 194I?

A6: Section 194I mandates TDS withholding of 10% for land, buildings, or factory premises, and 2% for plant, machinery, or industrial equipment.

Q7: What is the National Monetisation Pipeline (NMP)?

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A7: The NMP is a policy initiative by NITI Aayog to monetize INR 6.0 Lakh Crores of public infrastructure assets (roads, power, gas pipelines, telecom) by leasing operational concessions to private investors under TOT/OMT structures.

Q8: What GST rate applies to asset leasing and can lessees claim Input Tax Credit?

A8: Asset leasing attracts 18% GST under SAC 9973/9971. Commercial lessees utilizing the leased asset for business operations can fully claim Input Tax Credit (ITC) u/s 16 of the CGST Act.

Q9: What is the role of an Escrow Trust & Retention Account (TRA) in lease financing?

A9: An Escrow TRA account ring-fences 100% of asset lease revenues, establishing a strict priority cash waterfall that auto-debits debt servicing before releasing surplus cash to the asset owner.

Q10: What minimum Lease Service Coverage Ratio (LSCR) is typically required by underwriters?

A10: Institutional underwriters typically mandate a minimum LSCR / DSCR of 1.35x to 1.65x to ensure an adequate cash buffer against operating downtime or rental payment delays.

Q11: How are secured charges registered for monetized lease assets under the Companies Act 2013?

A11: Lenders register a first exclusive mortgage or hypothecation charge over leased assets by filing ROC Form CHG-1 with the Registrar of Companies within 30 days u/s 77.

Q12: What is the typical tenure offered for Asset Monetization through Leasing?

A12: Tenure ranges from 24–60 months for short-term equipment operating leases, 5–10 years for commercial LRD/SLB facilities, and 15–30 years for long-term NMP infrastructure concessions.

Q13: How does Section 14(1)(d) of the IBC 2016 affect leased assets during insolvency?

A13: Section 14(1)(d) prohibits lessors from repossessing property occupied by the Corporate Debtor during the CIRP moratorium. However, post-commencement lease rentals for essential operational assets must be paid as Priority 1 CIRP Costs.

Q14: What happens to secured lease financiers during company liquidation under Section 53 of the IBC?

A14: Secured financiers holding registered charges (ROC Form CHG-1) rank under Priority 2 in the Section 53 liquidation waterfall, sharing pari-passu rights with workmen's dues over asset liquidation proceeds.

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Q15: Why is Asset Monetization through Leasing considered superior to taking unsecured corporate debt?

A15: It offers 200–350 bps lower interest pricing (8.5%–10% vs 12%–15%), preserves existing bank borrowing limits, provides a 25.17% tax shield u/s 37(1), and unlocks upfront capital without diluting equity control.

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